Schedule OBF-2 Sheet 1
ON-BILL FINANCING PROGRAM

APPLICABILITY

This Schedule is applicable to eligible Bundled Service, Community Choice Aggregation Service, and Direct Access Customers receiving service under a General Service, Streetlighting or Agricultural and Pumping rate schedule. Schedule OBF-2 is an On-Bill Financing (OBF-2) loan program that provides zero percent interest financing to qualified customers towards the purchase and installation of new clean energy equipment at the customer's facility. Qualified customers are those customers who meet specified credit criteria and comply with OBF-2 program requirements in accordance with this Schedule and applicable OBF-2 loan agreement. Loans under the OBF loan program will be available until funds are exhausted or when the Commission issues a superseding decision. (T)

TERRITORY

Within the entire territory served by SCE.

RATES

All charges and provisions of the customer's otherwise applicable tariffs shall apply. In addition, a fixed monthly loan payment amount due will appear as a line item on the customer's bill.

SPECIAL CONDITIONS

1. Loan Agreement. The customer must sign an On-Bill Financing Program Loan Agreement, Form 14-792, or On-Bill Financing Agreement Local Government Institutional Implemented Customer Projects, Form 14-914, or On-Bill Financing Agreement California State Projects, Form 14-928 which specifies all loan repayment obligations and other applicable program requirements. (T)

2. Incentive Application. The customer, or program implementer must submit a clean energy incentive application or other required information for the clean energy project, as applicable to the program. OBF-2 funding will only be available for those clean energy projects for which incentives and rebates are approved for applicable clean energy efficiency programs. (T)

3. Credit Requirements. Customer must have good credit standing as determined by SCE.

(Continued)

Schedule OBF-2 Sheet 2
ON-BILL FINANCING PROGRAM

SPECIAL CONDITIONS (Continued)

4. Loan Parameters.

a. Interest Rate and Fees: Loans will be offered at a 0% annual percentage rate (APR) and no fees will be charged.

b. Eligible government and institutional OBF-2 customers may bundle multiple service accounts at one or more premises into one customer On-Bill Financing loan. All other eligible OBF-2 customers may bundle multiple service accounts at one premise into one customer OBF-2 loan.

5. Billing And Collection

a. General Loan Obligation: Customers are responsible for repaying all loan obligations in accordance with the terms and conditions of the On-Bill Financing Program Loan Agreement.

b. Monthly Payment: The customer will be responsible to repay loans in accordance with the terms and conditions of the OBF Loan Agreement (Form 14-792, 14-914 or 14-928). (T)
The monthly amount due shall appear as a line item on the customer's bill. The monthly payment amount will be established at the time of the On-Bill Financing Program Loan Agreement initiation. For non-energy efficiency projects, the monthly loan payment will (T)
be determined by the loan amount distributed over the loan term. For energy efficiency |
projects, the monthly loan payment is based on an estimate of the average annual (T)
savings the customer would potentially realize as a result of the installation of the energy efficiency measures. Energy saving are not guaranteed. Further, changes in operating hours, energy costs, behavior, usage, load, etc., will also impact the utility bill.

c. Partial Payments: In instances of customers making partial payments, the partial payment will be applied in equal proportion to the energy charges and the loan obligation, and the customer may be considered in default of both the energy bill and the loan obligation.

d. Discontinuance: The customer's loan obligation shall be subject to the discontinuance provisions of SCE's Rule 11, Discontinuance and Restoration of Service, Section B, Nonpayment of Bills or Summary Bills.

e. Late Payment: The customer's loan obligation will not be subject to the late payment charge provision of SCE's Rule 9, Rendering and Payment of Bills.

f. Accelerated Payment: Payment of the loan obligation can be paid monthly or in one lump sum but otherwise accelerated payments will not be accepted.